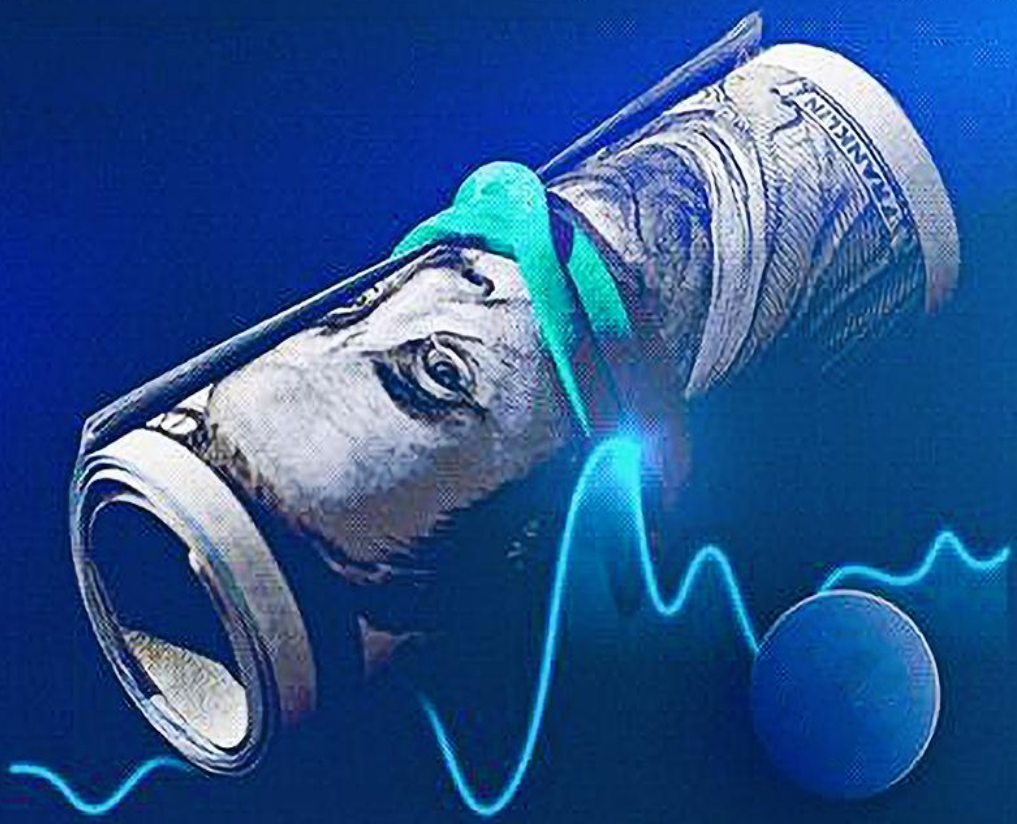
AIB AXYS AFRICA



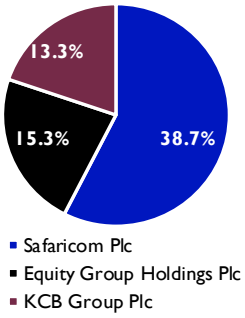
WEEKLY NOTE

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AIB-AXYS Weekly Equities Note

8th June 2026

Top 3 Traded Counters



Source: NSE, AIB-AXYS Research

Top Gainers

Company	Closing Price	W/W Change (%)
Longhorn Publishers Plc	2.88	▲ 8.3%
Jubilee Holdings Ltd	394.00	▲ 7.3%
Car & General	84.75	▲ 6.9%
KCB Group Plc	70.75	▲ 6.0%
Stanbic Holdings Plc	285.00	▲ 5.8%

Top Losers

Company	Closing Price	W/W Change (%)
Sasini Plc	23.00	▼ (15.0%)
Limuru Tea Plc	446.75	▼ (7.8%)
B.O.C Kenya Plc	161.50	▼ (7.3%)
WPP Scangroup Plc	2.06	▼ (6.4%)
Kakuzi Plc	427.75	▼ (5.6%)

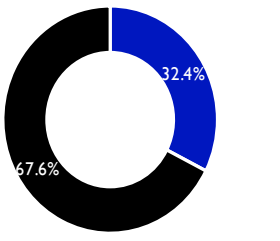
Source: NSE, AIB-AXYS Research

Weekly Market Summary

Statistic	Latest Week	Previous Week	% change
Market Cap (KES Bn)	3,488.88	3,411.28	▲ 2.3%
Nairobi All Share Index	210.37	205.69	▲ 2.3%
NSE-10 Index	2,202.91	2,154.68	▲ 2.2%
NSE-20 Index	3,557.72	3,513.12	▲ 1.3%
NSE-25 Index	5,789.22	5,659.05	▲ 2.3%

Source: NSE, AIB-AXYS Research

Participation Mix



Source: NSE, AIB-AXYS Research

Stock Commentary

- **Safaricom PLC** was the most traded counter in the week with aggregate turnover clocking **KES 1,316.81 Mn,** with **Equity Group Holdings PLC** coming in as the second most traded counter, with the cumulative turnover coming in at **KES 519.08 Mn.**
- For the week, bullish foreign sentiment was skewed on **Equity Group Holdings PLC** to register net inflows amounting to **KES 389.42 Mn.**
- On the flip side, bearish foreign sentiment was most pronounced on **Safaricom PLC** to register net outflows amounting to **KES 493.62 Mn.**

Trading Activity Stats

Statistic	Latest Week	Previous Week	% change
Equity Turnover (KES, Mn)	3,401.73	4,824.44	▼ (29.5%)
Foreigner buys (KES Mn)	978.20	2,372.29	▼ (58.8%)
Foreigner sales (KES Mn)	1,229.44	717.50	▲ 71.4%
Net foreign flows (KES Mn)	(251.24)	1,654.79	▲ 115.2%
Foreign Participation Rate	32.4%	32.0%	▲ 0.4%

Source: NSE, AIB-AXYS Research

Kenyan Equities Market Performance

- The market registered bullish sentiment as signaled by the **2.3%** uptick in the Nairobi All-Share index (NASI) to close at **210.37 points.**
- Trading activity decreased by **29.5%** in the week to **KES 3,401.73 Mn,** down from **KES 4,824.44 Mn** the previous week.
- Local investors were notably active in the week, with their participation rate at **67.6%** of total market activity.

Top Net Foreigner Buys

Company	Closing Price	Turnover (KES '000')
Equity Group Holdings Plc	77.25	389,424.95
Diamond Trust Bank	143.00	15,413.57
Kenya Pipeline Company	9.10	14,488.92
The Co-operative Bank of Kenya Ltd	31.95	4,802.77
NCBA Group Plc	88.25	4,634.34

Source: NSE, AIB-AXYS Research

Top Net Foreigner Sales

Company	Closing Price	Turnover (KES '000')
Safaricom Plc	31.75	(493,617.48)
KCB Group Plc	70.75	(101,039.00)
Stanbic Holdings Plc	285.00	(41,762.47)
Kenya Power & Lighting Co Plc	15.70	(17,188.01)
KenGen Co. Plc	9.10	(11,445.57)

Source: NSE, AIB-AXYS Research



TRIFIC Green USD I-REIT

- I-REIT – basically acquires properties, manages properties, and receives rental income from these properties, which it will, in turn, pass on to investors in a similar fashion as dividends in shares. Our view of the opportunity (here)
- Supported by annual rental escalation clauses, SEZ incentives, and a market maker to enhance liquidity, the REIT presents an attractive diversification opportunity for income-focused investors. Clients interested in participating can click the link for further details and the application.

TRIFIC Green USD I-REIT

- The Nedbank–NCBA offer period is currently open and will close on 10th July 2026. Under the transaction, Nedbank seeks to acquire up to 66.0% of NCBA through a share-and-cash offer, valuing the transaction at approximately KES 109.90 Bn.
- Our view is that the transaction presents an attractive opportunity for shareholders, with the offer implying a premium to both the prevailing market price and our latest in-house valuation. Investors receiving Nedbank shares also gain exposure to a larger and more diversified pan-African banking franchise with a strong dividend track record.
- The transaction further strengthens NCBA's strategic position by combining its regional footprint and digital capabilities with Nedbank's balance sheet strength and corporate banking expertise. Our detailed house view of the transaction can be found (here).

Top Gainers 2026	Closing Price		% Change
Car & General	KES	84.75	▲ 66.2%
Kenya Airways Ltd	KES	5.64	▲ 59.8%
Eaagads Ltd	KES	32.15	▲ 58.8%
Africa Mega Agricorp	KES	111.00	▲ 57.4%
Stanbic Holdings	KES	285.00	▲ 44.1%
Uchumi Supermarket	KES	1.45	▲ 40.8%
Britam Holdings	KES	12.65	▲ 39.0%
Co-operative Bank of Kenya	KES	31.95	▲ 33.4%
Sasini Plc	KES	23.00	▲ 28.9%
B.O.C Kenya	KES	161.50	▲ 27.2%

Top Losers 2026	Closing Price		% Change
Eveready East Africa	KES	1.05	▼ (23.4%)
WPP Scangroup	KES	2.06	▼ (19.2%)
Nairobi Business Ventures	KES	1.23	▼ (16.3%)
Olympia Capital Holdings	KES	7.18	▼ (12.7%)
ILAM FAHARI I-REIT	KES	1.23	▼ (12.1%)
Williamson Tea Kenya	KES	132.25	▼ (11.5%)
East African Breweries	KES	240.50	▼ (8.6%)
CIC Insurance Group	KES	4.20	▼ (8.1%)
Express Kenya Ltd	KES	6.90	▼ (6.8%)
Home Afrika Ltd	KES	1.25	▼ (6.7%)

Top Movers 2026	Turnover (KES Mn)	Turnover (USD Mn)	Foreigners' Participation	Closing Price	% Change (YTD)
Equity Group Holdings	KES 18,803.0	$145.54	44.3%	KES 77.25	▲ 15.7%
Safaricom Plc	KES 18,687.0	$144.64	53.1%	KES 31.75	▲ 12.0%
KCB Group	KES 12,978.2	$100.45	27.5%	KES 70.75	▲ 7.6%
Stanbic Holdings	KES 4,085.9	$31.62	59.8%	KES 285.00	▲ 44.1%
East African Breweries	KES 3,101.0	$24.00	40.1%	KES 240.50	▼ (8.6%)
Kenya Pipeline Company	KES 3,043.3	$23.56	2.0%	KES 9.10	▼ (0.9%)
Co-operative Bank of Kenya	KES 3,038.5	$23.52	2.2%	KES 31.95	▲ 33.4%
NCBA Group	KES 2,787.7	$21.58	2.8%	KES 88.25	▲ 5.1%
I&M Holdings	KES 2,778.9	$21.51	2.0%	KES 52.50	▲ 23.7%
Absa Bank Kenya	KES 2,556.4	$19.79	19.8%	KES 29.05	▲ 17.6%
British American Tobacco Kenya	KES 2,113.1	$16.36	32.1%	KES 520.00	▲ 13.3%
Kenya Power & Lighting Co	KES 1,847.3	$14.30	15.1%	KES 15.70	▲ 15.4%
ABSA New Gold ETF	KES 1,687.0	$13.06	49.7%	KES 5,315.00	▼ (1.1%)
Standard Chartered Bank	KES 1,544.3	$11.95	11.5%	KES 331.75	▲ 11.6%
KenGen Co.	KES 1,473.0	$11.40	11.5%	KES 9.10	▼ (0.9%)



AIB-AXYS Equities Market Snapshot

8th June 2026

MARKET SCORECARD	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
		As of:	06/Jun/26												
AGRICULTURAL															
Eaagads Ltd	32.15	▼ (3.7%)	▲ 58.8%	386	40.23	1,033.8	0.03%	0.37	-	86.9x	0.8x	0.0%	0.0%	0.9%	0.8%
Kakuzi Plc	427.75	▼ (2.6%)	▲ 6.4%	609	284.08	8,383.9	0.25%	17.12	16.00	25.0x	1.5x	3.7%	80.9%	6.0%	4.6%
Kapchorua Tea Kenya Plc	275.25	▼ (0.1%)	▲ 18.9%	1,176	255.42	2,153.6	0.06%	23.16	25.00	11.9x	1.1x	9.1%	107.9%	9.1%	6.7%
The Limuru Tea Co. Plc	446.75	▼ (7.8%)	▼ (2.9%)	11	54.29	1,072.2	0.03%	(21.88)	-	(20.4x)	8.2x	0.0%	0.0%	0.0%	0.0%
Sasini Plc	23.00	▲ 4.8%	▲ 28.9%	30,803	92.72	5,245.3	0.16%	(2.75)	-	(8.4x)	0.2x	0.0%	0.0%	0.0%	0.0%
Williamson Tea Kenya Plc	132.25	▼ (0.9%)	▼ (11.5%)	15,585	335.95	2,316.0	0.07%	(8.76)	10.00	(15.1x)	0.4x	7.6%	(114.2%)	0.0%	0.0%
Industry Median		▼ (1.8%)	▲ 12.7%			20,204.8	0.60%			1.8x	0.9x	1.9%	0.0%	0.5%	0.4%
AUTOMOBILES & ACCESSORIE															
Car & General (K) Ltd	84.75	▲ 5.9%	▲ 66.2%	5,807	205.96	3,398.8	0.10%	30.50	3.42	2.8x	0.4x	4.0%	11.2%	14.8%	5.6%
BANKING															
ABSA Bank Kenya Plc	29.05	-	▲ 17.6%	828,311	19.53	157,786.1	4.71%	4.06	2.05	7.2x	1.5x	7.1%	48.6%	20.8%	3.9%
BK Group Plc	53.50	-	▲ 25.9%	8,688	51.63	47,976.6	1.43%	10.93	7.59	4.9x	1.0x	14.2%	70.2%	21.2%	3.8%
Diamond Trust Bank Kenya Ltd	143.00	-	▲ 24.9%	29,418	377.77	39,983.1	1.19%	34.83	9.00	4.1x	0.4x	6.3%	26.7%	9.2%	1.5%
Equity Group Holdings Plc	77.25	▼ (0.3%)	▲ 15.7%	3,162,767	86.52	291,516.4	8.69%	19.07	5.75	4.1x	0.9x	7.4%	30.2%	22.0%	3.5%
HFCB Group Plc	9.64	▲ 0.2%	▼ (3.2%)	160,976	12.38	14,395.6	0.43%	0.75	-	12.9x	0.8x	0.0%	0.0%	6.1%	1.2%
I&M Group Plc	52.50	▲ 1.9%	▲ 23.7%	39,604	71.00	91,166.3	2.72%	10.79	3.75	4.9x	0.7x	7.1%	34.8%	15.2%	2.5%
KCB Group Plc	70.75	▲ 1.8%	▲ 7.6%	1,629,749	109.61	227,352.5	6.78%	22.95	7.00	3.1x	0.6x	9.9%	33.7%	20.9%	3.3%
NCBA Group	88.25	▼ (0.6%)	▲ 5.1%	421,495	80.95	145,393.6	4.34%	14.49	7.10	6.1x	1.1x	8.0%	50.0%	17.9%	3.2%
Stanbic Holdings Plc	285.00	▲ 3.0%	▲ 44.1%	148,576	202.75	112,666.7	3.36%	34.70	22.35	8.2x	1.4x	7.8%	64.4%	17.1%	2.5%
Standard Chartered Bank Kenya Ltd	331.75	▲ 0.2%	▲ 11.6%	15,604	184.79	125,351.9	3.74%	32.47	31.00	10.2x	1.8x	9.3%	95.5%	17.6%	3.0%
The Co-operative Bank of Kenya Ltd	31.95	▲ 0.5%	▲ 33.4%	387,226	29.61	187,456.4	5.59%	5.29	2.50	6.0x	1.1x	7.8%	49.6%	17.9%	3.5%
Industry Median		▲ 0.2%	▲ 17.6%			1,441,045.1	42.97%			6.0x	1.0x	7.8%	48.6%	17.9%	3.2%
COMMERCIAL AND SERVICES															
Eveready East Africa Ltd	1.05	-	▼ (23.4%)	79,310	0.30	220.5	0.01%	(0.28)	-	(3.8x)	3.5x	0.0%	0.0%	0.0%	0.0%
Express Kenya Plc	6.90	▲ 1.5%	▼ (6.8%)	874	9.90	329.2	0.01%	(2.62)	-	(2.6x)	0.7x	0.0%	0.0%	0.0%	0.0%
Homeboyz Entertainment Plc	4.66	-	-	0	0.89	294.5	0.01%	0.46	-	10.1x	5.2x	0.0%	0.0%	51.4%	14.9%
Kenya Airways Ltd	5.64	▼ (0.4%)	▲ 59.8%	233,004	-22.68	32,847.4	0.98%	(2.29)	-		(0.2x)	0.0%	0.0%	0.0%	0.0%
Longhorn Publishers Plc	2.88	▼ (1.0%)	▼ (0.7%)	2,328	0.01	784.6	0.02%	(1.38)	-	(2.1x)	260.2x	0.0%	0.0%	0.0%	0.0%
Nairobi Business Ventures Ltd	1.23	▼ (4.7%)	▼ (16.3%)	91,142	1.41	1,665.1	0.05%	0.01	-	133.2x	0.9x	0.0%	0.0%	0.7%	0.4%
Nation Media Group Plc	12.65	▼ (1.6%)	▲ 9.5%	16,214	33.95	2,623.6	0.08%	(1.80)	-	(7.0x)	0.4x	0.0%	0.0%	0.0%	0.0%
Sameer Africa Plc	15.20	▲ 3.8%	▲ 6.7%	10,753	2.98	4,230.8	0.13%	0.93	-	16.3x	5.1x	0.0%	0.0%	31.2%	16.3%
Standard Group Plc	5.90	-	▼ (2.3%)	359	-28.82	482.2	0.01%	(10.15)	-	(0.6x)	(0.2x)	0.0%	0.0%	0.0%	0.0%
TPS Eastern Africa (Serena) Ltd	15.35	▲ 0.3%	▲ 4.4%	2,473	73.39	2,796.4	0.08%	2.77	0.35	5.5x	0.2x	2.3%	12.6%	3.8%	2.3%
Uchumi Supermarket Plc	1.45	▼ (1.4%)	▲ 40.8%	345,302	-19.32	529.2	0.02%	0.03	-	48.3x	(0.1x)	0.0%	0.0%	(0.2%)	0.4%
WPP Scangroup Plc	2.06	▼ (2.8%)	▼ (19.2%)	139,901	9.24	890.2	0.03%	(1.61)	-	(1.3x)	0.2x	0.0%	0.0%	0.0%	0.0%
Industry Median		▼ (0.2%)	▼ (0.3%)			14,846.3	0.44%			(0.9x)	0.7x	0.0%	0.0%	0.0%	0.0%
CONSTRUCTION & ALLIED															
Bamburi Cement Ltd	54.00	-	-	0	69.50	19,599.8	0.58%	(1.97)	23.72	(27.4x)	0.8x	43.9%	(850.2%)	0.0%	0.0%
Crown Paints Kenya Plc	59.75	▲ 2.1%	▲ 9.6%	3,370	25.41	8,506.1	0.25%	1.34	-	44.6x	2.4x	0.0%	0.0%	5.3%	2.1%
E.A Cables Ltd	1.71	-	-	0	0.34	432.8	0.01%	0.37	-	4.6x	5.1x	0.0%	0.0%	110.1%	1.9%
E.A Portland Cement Co. Ltd	73.00	▼ (2.0%)	▼ (0.7%)	846	226.97	6,570.0	0.20%	20.26	-	3.6x	0.3x	0.0%	0.0%	8.9%	5.2%
Industry Median		-	-			35,108.8	1.05%			4.1x	1.6x	0.0%	0.0%	7.1%	2.0%
ENERGY & PETROLEUM															
KenGen Co. Plc	9.10	-	▼ (0.9%)	894,500	42.89	60,010.2	1.79%	1.43	0.90	6.4x	0.2x	9.9%	56.6%	3.3%	1.9%
Kenya Power & Lighting Co Plc	15.70	-	▲ 15.4%	657,427	60.56	30,638.0	0.91%	12.76	1.10	1.2x	0.3x	7.0%	8.8%	21.1%	6.3%
TotalEnergies Marketing Kenya Plc	47.70	▼ (0.8%)	▲ 23.7%	70,820	53.48	30,029.2	0.90%	3.45	3.45	13.8x	0.9x	7.2%	100.0%	6.5%	3.1%
Umeme Ltd	7.76	▼ (1.0%)	▼ (0.8%)	17,490	7.55	12,601.3	0.38%	(3.55)	7.68	(2.2x)	1.0x	99.0%	(161.2%)	0.0%	0.0%
Kenya Pipeline Company Plc	9.10	-	▼ (0.9%)	354,881	5.41	165,377.0	4.93%	0.41	0.32	22.1x	1.7x	3.6%	78.8%	7.6%	5.4%
Industry Median		-	▼ (0.8%)			298,655.7	8.91%			6.4x	0.6x	8.6%	32.7%	4.9%	2.5%
INSURANCE															
Britam Holdings Plc	12.65	▲ 1.6%	▲ 39.0%	8,611	13.89	31,922.1	0.95%	2.18	-	5.8x	0.9x	0.0%	0.0%	15.7%	2.3%
CIC Insurance Group Ltd	4.20	▲ 0.2%	▼ (8.1%)	286,667	4.53	10,985.3	0.33%	0.21	0.13	20.0x	0.9x	3.1%	61.9%	4.6%	0.7%
Jubilee Holdings Ltd	394.00	▼ (0.8%)	▲ 17.6%	6,175	767.27	28,554.3	0.85%	80.00	15.00	4.9x	0.5x	3.8%	18.8%	10.4%	2.3%
Kenya Re- Insurance Corporation Ltd	3.49	▲ 1.5%	▲ 15.9%	1,403,696	9.74	19,542.6	0.58%	0.70	0.15	5.0x	0.4x	4.3%	21.4%	7.2%	5.4%
Liberty Kenya Holdings Ltd	10.00	-	▼ (1.0%)	18,375	18.82	5,357.1	0.16%	0.85	0.50	11.8x	0.5x	5.0%	58.8%	4.5%	1.0%
Sanlam Kenya Plc	8.52	▲ 0.5%	▲ 0.7%	5,257	7.20	5,486.9	0.16%	1.52	-	5.6x	1.2x	0.0%	0.0%	21.1%	2.5%
Industry Median		▲ 0.4%				101,848.2	3.04%			5.7x	0.7x	3.5%	20.1%	8.8%	2.3%
INVESTMENT															
Centum Investment Co Plc	13.85	-	-	30,218	64.49	9,217.9	0.27%	2.09	0.32	6.6x	0.2x	2.3%	15.6%	3.2%	1.6%
Home Afrika Ltd	1.25	▲ 3.3%	▼ (6.7%)	226,084	-1.64	506.6	0.02%	0.08	-	15.6x	(0.8x)	0.0%	0.0%	(4.9%)	0.9%
Kurwitu Ventures Ltd	1,500.00	-	-	0	502.63	153.4	0.00%	(35.95)	-	(41.7x)	3.0x	0.0%	0.0%	0.0%	0.0%
Olympia Capital Holdings Ltd	7.18	▲ 8.5%	▼ (12.7%)	679	30.87	287.2	0.01%	0.26	-	27.5x	0.2x	0.0%	0.0%	0.8%	0.5%
Trans-Century Plc	1.12	-	-	0	-38.80	420.2	0.01%	(6.10)	-	(0.2x)	(0.0x)	0.0%	0.0%	0.0%	0.0%
Industry Median		-	-			10,585.3	0.32%			6.6x	0.2x	0.0%	0.0%	0.0%	0.5%
INVESTMENT SERVICES															
Nairobi Securities Exchange Plc	19.05	▲ 1.6%	▼ (5.9%)	67,533	9.44	4,960.5	0.15%	1.04	1.27	18.3x	2.0x	6.7%	122.1%	11.0%	9.8%
MANUFACTURING & ALLIED															
B.O.C Kenya Plc	161.50	▼ (0.2%)	▲ 27.2%	2,826	112.42	3,153.4	0.09%	16.08	12.85	10.0x	1.4x	8.0%	79.9%	14.3%	12.2%
British American Tobacco Kenya Plc	520.00	-	▲ 13.3%	13,216	154.85	52,000.0	1.55%	52.46	70.00	9.9x	3.4x	13.5%	133.4%	33.9%	22.2%
Carbacid Investments Plc	29.65	▲ 0.2%	▲ 1.0%	22,024	20.00	7,556.4	0.23%	3.94	2.00	7.5x	1.5x	6.7%	50.8%	19.7%	16.8%
East African Breweries Plc	240.50	▼ (2.7%)	▼ (8.6%)	123,849	46.22	249,702.9	7.45%	12.47	9.50	19.3x	5.2x	4.0%	76.2%	27.0%	9.2%
Flame Tree Group Holdings Ltd	1.92	-	▲ 40.1%	90,161	6.88	341.9	0.01%	1.13	-	1.7x	0.3x	0.0%	0.0%	16.4%	5.4%
Africa Mega Agricop Plc	111.00	▲ 5.0%	▲ 57.4%	81	2.18	1,428.4	0.04%	0.13	-	853.8x	50.8x	0.0%	0.0%	6.0%	1.2%
Unga Group Ltd	25.90	▲ 2.8%	▲ 11.6%	4,361	77.43	1,960.9	0.06%	(5.66)	-	(4.6x)	0.3x	0.0%	0.0%	0.0%	0.0%
Shri Krishana Overseas Plc	9.40	▼ (0.6%)	▲ 15.2%	7,514	1.45	474.7	0.01%	4.10	-	2.3x	6.5x	0.0%	0.00	2.83	0.45
Industry Median			▲ 13.3%			316,143.7	9.43%			9.9x	1.5x	4.0%	50.8%	16.4%	9.2%
TELECOMMUNICATION															
Safaricom Plc	31.75	▲ 1.0%	▲ 12.0%	13,812,903	5.76	1,272,077.3	37.93%	2.39	2.00	13.3x	5.5x	6.3%	83.8%	41.4%	18.5%
Market Average		▲ 0.5%	▲ 12.8%							6.7x	1.4x	3.9%		11.2%	4.9%

AIB-AXYS Weekly Fixed Income Note

8th June 2026

Key Highlights

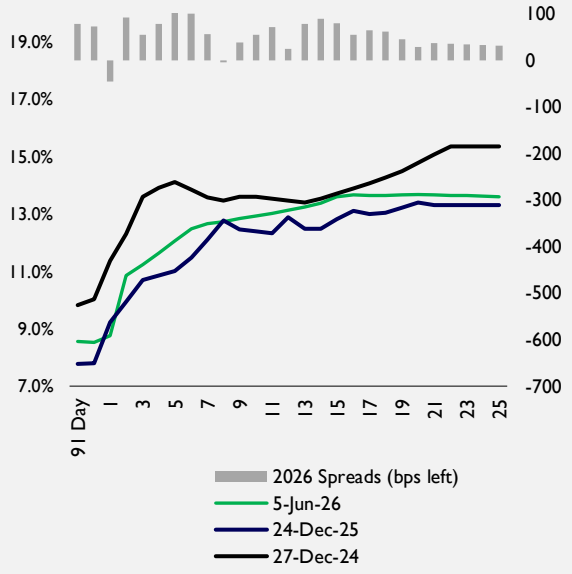
- **Spot market Treasury bills recorded a strong rebound in investor demand, with the overall subscription rate surging to 227.4% from 69.3%** recorded the previous week, reversing the brief weakness witnessed in the preceding auction. Demand remained heavily concentrated in the 91-day paper, which attracted KES 32.83Bn in bids against KES 4.00Bn offered, while the 364-day paper also registered robust uptake with bids worth KES 15.23Bn against KES 10.00Bn offered. The 182-day paper, though undersubscribed, received KES 6.53Bn in bids, reflecting improved investor participation across the curve. The sharp recovery in demand suggests ample market liquidity and renewed investor appetite for government securities, as investors sought to lock in attractive yields amid rising inflation expectations and uncertainty surrounding the near-term interest rate outlook.
- The 91-day Treasury bill rate edged up to 8.56%. Similarly, yields on the 182-day paper recorded a marginal uptick of 27.52 bps, while the 364-day paper increased by 13.63 bps to 8.76%.
- **In the results from the reopened FXD1/2020/015 and FXD1/2018/025, the government registered a performance rate of 85.97%** with total bids received amounting to KES 34.39 Bn against a target of KES 40.00 Bn. The total amount of accepted bids was KES 34.37 Bn. The weighted average rate of accepted bids for FXD1/2020/015 and FXD1/2018/025 was 13.3120% and 14.2304%, respectively, while the coupon rates for the bonds were 12.7560% and 13.4000%, respectively.
- **In the results of the switch auction from FXD1/2017/010 into FXD1/2021/020, the government recorded a performance rate of 76.1%,** with total bids received amounting to KES 7.61Bn against the targeted KES 10.00Bn. The total amount accepted stood at KES 4.53Bn, with the weighted average rate of accepted bids settling at 13.4116% against a coupon rate of 13.4440%. The switch operation saw KES 4.31Bn successfully switched from the source bond, underscoring the government's continued efforts to smooth its domestic debt maturity profile and ease near-term refinancing pressures through proactive liability management operations.
- **Across the secondary bond market, the value of bonds traded decreased 36.9% w/w to KES 23.47 Bn** from **KES 37.18 Bn** recorded a week prior. The NSE Bond Index witnessed a decrease of 200 bps w/w to 1,137.19 points, driven largely by an increase in the 22-year benchmark yields. The 22-year yield rose the most by 68.35 bps w/w, while the 2-year yield registered the smallest increase of 2.70 bps w/w, reflecting upward repricing by investors amid rising inflation expectations and increased demand for higher risk premiums.
- **Yields on Kenya's Eurobond papers decreased by an average of 6.11 bps w/w** as investors balanced persistent geopolitical risks against improving sentiment toward frontier market assets.

Table 1: Indicative Fixed Income Stats

Rate	Current	Previous	w/w bps change	2026 bps change
91- Day	8.56%	8.39%	17.04	83.07
182-Day	8.53%	8.25%	27.52	72.52
364-Day	8.76%	8.63%	13.63	(44.80)
Bond Index	1,137.19	1,160.43	(200.27)	(111.22)
KESONIA	8.75%	8.75%	(0.08)	(24.57)

Source: Central Banks' Data, Nairobi Securities Exchange

Chart 1: Domestic Yield Curve Evolution



Source: Nairobi Securities Exchange, AIB-AXYS Africa Research

KENYAN EUROBONDS

ISSUANCE	KENINT 02/28/2028	KENINT 02/16/2031	KENINT 05/22/2032	KENINT 01/23/2034	KENINT 02/28/2048
Tenor to maturity	1.74	4.72	5.99	7.99	21.81
31-Dec-25	6.05%	7.10%	7.20%	7.81%	8.84%
29-May-26	7.01%	7.27%	7.63%	8.18%	8.88%
1-Jun-26	7.08%	7.34%	7.69%	8.20%	8.89%
2-Jun-26	7.01%	7.23%	7.60%	8.15%	8.86%
3-Jun-26	6.93%	7.30%	7.66%	8.23%	8.94%
4-Jun-26	7.01%	7.33%	7.69%	8.25%	8.96%
Weekly change	(0.15%)	(0.05%)	(0.09%)	(0.03%)	0.02%

Macroeconomic Developments

Exchange Rate

- The Kenya Shilling appreciated marginally against the USD, closing the week at KES 129.32 from KES 129.55 recorded the previous week, translating to a w/w appreciation of 0.2%. Consequently, the Shilling's YTD depreciation against the USD stood at 0.2%.
- Official forex reserves decreased by **0.1% w/w** to **USD 13,201 Mn** from **USD 13,209 Mn**. The current reserves now offer about **5.6 Months** of import cover, meeting the CBK's statutory requirement of 4 months. The reserves also met the EAC's convergence requirement of 4.5 months of import cover.

Liquidity

- The Kenya Shilling Overnight Interbank Average (KESONIA) closed the week at 8.75%. We expect KESONIA to remain broadly aligned with the CBR.

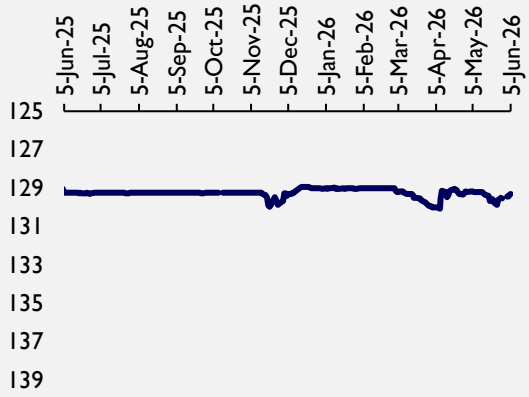
MPC Projection

- The Monetary Policy Committee (MPC) is scheduled to meet on 9th June 2026. We expect the Committee to increase the Central Bank Rate (CBR) by 25 bps to 9.00%, marking a shift toward a more cautious monetary policy stance following the recent acceleration in inflation.
- Our expectation is driven by the sharp rise in headline inflation to 6.7% in May from 5.6% in April, reflecting mounting pressure from higher fuel prices, transport costs and imported inflation. Elevated energy prices and persistent geopolitical tensions continue to pose upside risks to the inflation outlook, strengthening the case for policy tightening.

Stanbic Bank Kenya Purchasing Managers Index– May 2026

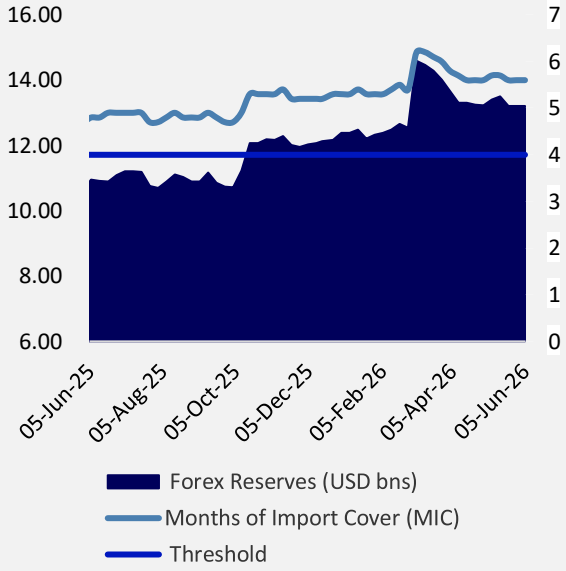
- According to Stanbic Bank Kenya's Purchasing Managers' Index (PMI), private sector business conditions deteriorated further in May, with the headline PMI declining to 46.6 from 49.4 in April. The reading signaled the fastest contraction in business activity since July 2024, reflecting weaker demand conditions and growing cost pressures across the economy.
- Output and new orders declined at a faster pace during the month, with firms citing constrained consumer spending, budget tightening by clients, and elevated inflationary pressures. Construction and services sectors recorded contractions in both activity and sales, while manufacturing was the only sector to register growth in output.
- Businesses scaled back purchasing activity and reduced workforce numbers for the first time in 16 months as lower sales reduced pressure on operating capacity. Inventory accumulation also slowed amid cash flow concerns and weaker demand conditions
- Cost pressures intensified, with overall input price inflation accelerating to its highest level since November 2023, driven largely by higher fuel, transportation and purchase costs. Consequently, firms raised selling prices at the fastest pace in two-and-a-half years as businesses sought to pass through rising operating expenses.
- Despite the challenging operating environment, business confidence improved, with firms expressing optimism over the next twelve months supported by planned investments, product diversification, increased advertising, and expansion of digital sales channels. Nonetheless, persistent inflationary pressures and subdued consumer demand remain key downside risks to private sector recovery.

Chart 2: KES-USD Exchange Rate



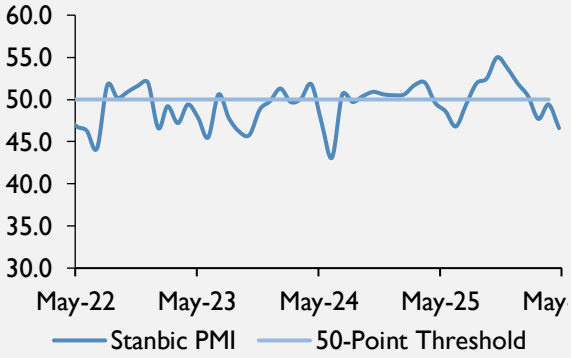
Source: Central Bank of Kenya, AIB-AXYS Africa Research

Chart 3: Forex Reserves



Source: Central Bank of Kenya, AIB-AXYS Africa Research

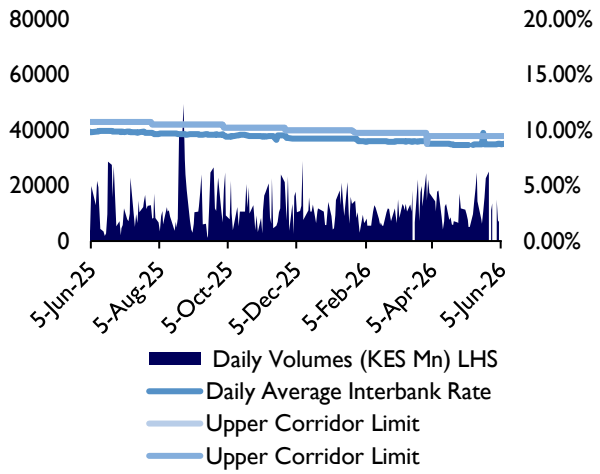
Chart 4: Stanbic PMI M/M



Source: AIB-AXYS Africa Research

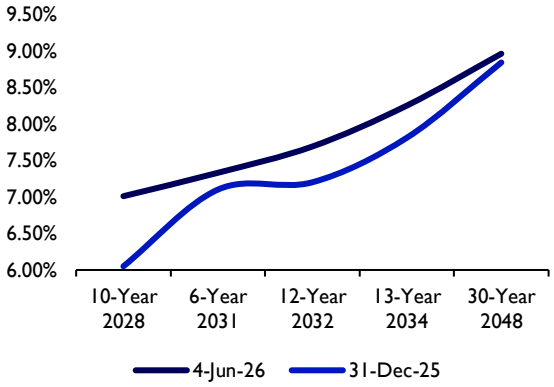


Chart 5: Interbank Rate and Volume



Source: Central Bank of Kenya, AIB-AXYS Research

Chart 6: Kenya Eurobond Yield Curve



Source: Bloomberg

Corporate Actions

Company	Interim/Special Dividend	Final Dividend	Book Closure	Dividend Payment
Liberty Kenya Holdings		KES 0.50	15-June-26	30-Aug-26
Jubilee Holdings Ltd		KES 13.00	11-June-26	24-July-26
Safaricom PLC		KES 1.15	04-Aug-26	04-Sep-26
Kenya Re Insurance Co		KES 0.15	19-June-26	31-July-26
TPS Eastern Africa Ltd		KES 0.35	26-June-26	30-July-26
TotalEnergies Marketing Kenya		KES 3.45	24-June-26	31-July-26
Car & General Ltd		KES 3.12	24-June-26	30-June-26

Source: Nairobi Securities Exchange *** Subject to approval*

MACROECONOMIC CALENDAR

Event	Date
CBR Rate	9th June 2026
Weekly CBK T-Bill Auction	11th June 2026

Summary Macro Economic Stats

Summary Macroeconomic Stats

Statistic	Updated as of:	Current	Previous	Δ
GDP Growth	FY'25	4.6%	4.7%	▼ (10bps)
Headline Inflation	May-26	6.7%	5.6%	▲ 110.0bps
Central Bank Rate	April-26	8.75%	8.75%	-
Stanbic Kenya PMI	May-26	46.6	49.4	▼ (2.8bps)
Private Sector Credit Growth	March-26	8.1%	7.4%	▲ 70.0bps
Forex Reserves (USD M)	May-26	13.209	13.226	▼ (0.1%)
Public Debt (KES Tn)	June-25	11.81	10.56	▲ 0.1bps

Source: CBK, KNBS, Stanbic Bank Kenya, AIB-AXYS Research

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